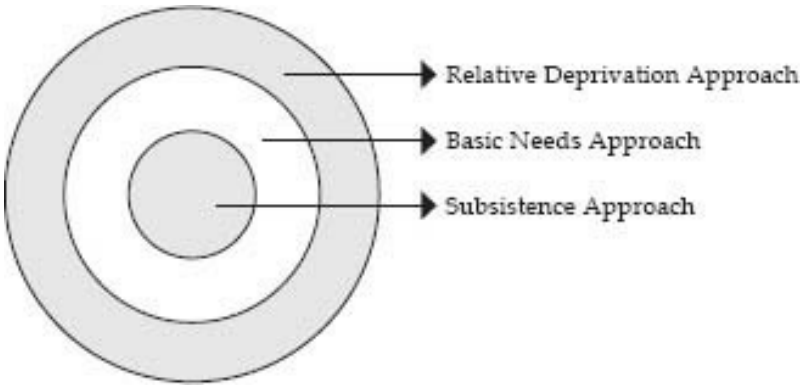
Figure 4.1



Absolute vs Relative Poverty

The poverty line based on subsistence approach measures absolute poverty. It measures in absolute term as to how many people are below a reference point. The poverty line fixed in India is one such reference point. As seen earlier NSSO fixed rural poverty line at ₹ 356.30 (2004–05 price) and estimated rural poor people as 170.3 million and it is 21.8 per cent of all India population.

In the relative poverty measure the poverty is measured in a relative sense. It is measured against any one of measures of central tendency like mean, median, quartiles and percentiles etc. In this measure persons falling within the 40–50 percentile of income may be above poverty line but are poor compared to persons falling within the percentile of 60–70. This measure helps to find out inequality that exists in the society. The usual tendency is to compare the top most group with the bottom most group.

Measures of Inequality

Quintile income ratio

The quintile income ratio is one of the measures of inequality. It is a ratio of the average income of richest 20 per cent of the population to